27 Oct 2026 02:19:41 ET | 12 pages

Huaming Power Equipment (002270.SZ)

Profit Growth Acceleration in 2027E; Low US Policy Risk with Just 2% Export to the US

CITI'S TAKE

We reiterate our Buy rating on Huaming after joining its post 3Q26 results investor call this morning hosted by its board secretary Mr. Xia in view of (i) earnings growth acceleration in 2027E expecting high export growth, sustainable domestic sales and less cost pressure (e.g. H-share listing expenses); we forecast its net profit to +18% yoy in 2027E, up 8ppts yoy; (ii) high defensiveness with low US policy risk given that it had 41% revenue of power equipment sales from overseas in 9M26, of which less than 2% from the US. Its overseas revenue was >50% from Europe and 30% from Asia (ex-China); (iii) sustainable high GP margin +0.5ppts yoy to 55.9% in 9M26, comprising +1.2ppts yoy to 56.5% in 3Q26. Huaming is at 18.5x 2027E PER, 4.6x PB and 3.7% yield. Its premium valuations look justified for its resilient earnings quality with limited competition and high 26% 2027E ROE.

1. Profit growth acceleration in 2027E - Huaming's revenue growth decelerated to 4.4% yoy in 3Q26, from 14.2% yoy in 1H26 for less service revenue. Its domestic tap charger sales did not have much growth for (i) weak demand from non-grid sector; (ii) renewable (wind & solar) installations dropped yoy; and (iii) PRC grid investment this year is heavily focused on UHV projects, with less activity in the main power grid. On the contrary, its revenue from overseas sales rose 46% yoy to Rmb709m in 9M26 for more exports primarily from Europe notably Turkey, with the growth from direct export faster than that of in-direct ones. Indirect exports are primarily sold to domestic transformer manufacturers (including both foreign brands like Siemens and domestic firms), with domestic-owned companies accounting for the majority. Its increasing export volumes reflects growing recognition of the Huaming brand in overseas markets. Impact from forex loss limited in 3Q26 and less compared to in 1H26. Huaming assumes a more optimistic outlook for 2027E expecting (i) sustainable export growth and, (ii) for China, more renewable installations and main grid investments next year. In our model, we assume Huaming's net profit to grow 18% yoy in 2027E, up 8ppts yoy.

Buy	
Price (26 Oct 26 15:00)	Rmb19.500
Target price	Rmb28.000
Expected share price return	43.6%
Expected dividend yield	3.3%
Expected total return	46.8%
Market Cap	Rmb17,476M
	US$2,620M

China Power Grid Equipment Sector

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Figure 1. Huaming's revenue of power equipment sales in 9M26

	1H26	YoY	Mix	3Q26	YoY	9M26	YoY	Mix	Change
Oversea sales	450	45%	41%	259	48%	709	46%	41%	9%
Domestic sales	649	0.2%	59%	385	-4%	1,034	-1%	59%	9%
Maintenance service									
Total	**1,099**	**-28.4%**	**100%**	**644**	**12%**	**1,743**	**14%**	**100%**	0%

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Source: Citi Research, Company Reports

2. Growth primarily from Europe & Asia; low US policy risk - Huaming's overseas revenue growth 48% yoy to Rmb259m in 3Q26, consistent with the increment of up 45% yoy to Rmb450m in 1H26. Its overseas revenue (including direct & in-direct sales) in 9M26 were >50% from Europe, 30% from Asia (ex-China) and <20% from elsewhere (including 2% from the US). Turkey is the largest contributor and the fastest-growing market. Exchange rate fluctuations had limited earnings impact in 3Q26. The U.S. market accounts for a negligible share of revenue (less than 2% export) hence potential impact from U.S. Presidential Executive Orders should be immaterial. Huaming's primary European markets are in Southern and Eastern Europe, with a smaller footprint in Western and Northern Europe. The company maintains local production bases in Turkey and Indonesia, with long-term plans to increase localization rates to further mitigate policy-related risks. For Middle East market expansion, efforts are focused on establishing a presence in Saudi Arabia, though progress has been impacted by regional instability. The goal is to finalize the details of cooperation agreements this year, with the aim of generating revenue by 2H27E. Longer term, Huaming's target of revenue mix of power equipment from overseas to rise to >50% (vs. 41% in 9M26) remains valid. The company is on track to reach this goal.

3. Sustainable high margin - Huaming's GP margin was sustainable +0.5ppts yoy to 55.9% in 9M26 with higher revenue mix from power equipment sales (which carries high margins) and >40% revenue of this source from export with GP margin around 10ppts above that of domestic sales. Its ASP has gone up owing to higher revenue mix from overseas. The company has set a target for revenue mix of power equipment sales from overseas to exceed 50% in 2028E; it is on track to reach this target. Huaming's employee share option expense will exceed Rmb70m in 2026E, including Rmb62m in 9M26.

4. Steady product lead time - Huaming's product delivery lead times are 2–3 weeks domestically and 2–3 months overseas without significant changes. Its has local production in Turkey and Indonesia; local production is conducive to mitigating trade barrier risks. Its tap charger sales prices are 10-20% lower than those of its major competitor Germany's Maschinenfabrik Reinhausen ('MR') (unlisted). It has no investment in solid-state transformers ('SSTs'). The company commented that, so far, the technology's advantages remain uncertain, the industry landscape is highly fragmented and the ultimate market conditions do not remain solid enough. SSTs have no impact on the company's product demand.

Bull/Bear: Huaming Power Equipment

Rmb 40.000 ▲105% Upside | Rmb 28.000 ▲44% Upside | Rmb 16.000 ▼18% Downside



Spread 123pp
Current Price and expected returns (upside/downside) as of 26 Oct 2026

BULL Assumptions

- Tap changer GP margin +2ppts yoy
- Tap changer revenue growth +2ppts yoy
- Electrical engineering GP margin +2ppts yoy

BASE Assumptions

- Base case

BEAR Assumptions

- Tap changer GP margin -2ppts yoy
- Tap changer revenue growth -2ppts yoy
- Electrical engineering GP margin -2ppts yoy

Huaming Power Equipment

Valuation

Our target price for Huaming of Rmb28.00/share is based on a DCF model, which we believe is a suitable valuation methodology given that cash flows are relatively stable for the power grid equipment industry in China. Our model incorporates our forecasts for cash flows up to 2030E and assumes a terminal growth rate of 4.0%. We apply a cost of equity of 7.7%, derived from a risk-free rate of 5.2%, a market risk premium of 6.8%, and an equity beta of 0.36x (according to Bloomberg). Our target price equates to a 2026E P/E of 26.9x and P/B of 6.8x.

Risks

Key downside risks that could cause Huaming's shares to trade below our target price include: (i) lower-than-expected overseas new orders; (ii) lower-than-expected China grid capex; and (iii) higher-than-expected raw material costs.

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Appendix A-1

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Huaming Power Equipment (002270.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Pierre Lau, CFA



	Date	Rating	Target Price	Closing Price
1	27-Sep-24 06:00:26	*1	*19.00	16.62
2	23-Oct-24 12:18:23	1	*20.00	16.27
3	21-Feb-25 11:11:27	1	*19.50	16.19
4	13-Apr-25 18:44:11	1	*17.00	14.40
5	08-Aug-25 07:43:55	1	*21.00	18.11
6	27-Oct-25 13:22:57	1	*29.00	24.98
7	27-Feb-26 08:48:44	1	*40.00	33.60
8	12-Apr-26 20:03:38	1	*32.50	28.20
9	31-Aug-26 10:26:02	1	*28.00	19.91

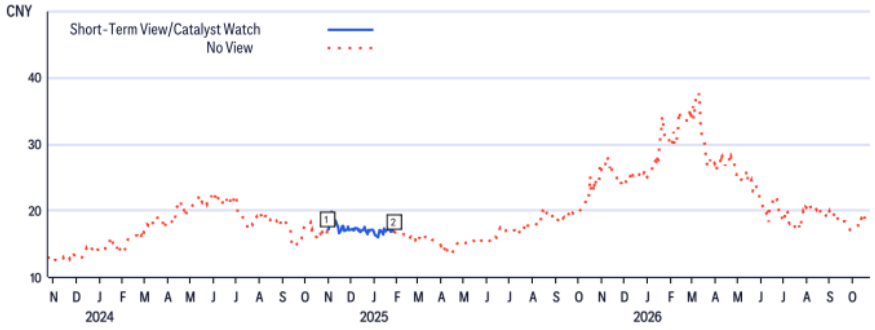
*Indicates Change

Rating/target price changes above reflect Eastern Time

Huaming Power Equipment (002270.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Pierre Lau, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	31-Oct-24 04:26:08	Add CW	Upside	90 Days	17.12
2	29-Jan-25 21:14:32	Remove CW	Upside	90 Days	16.80

CW - Catalyst Watch , STV - Short-Term View

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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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